

Extra exercises of Lecture 14

EX 1

Which of the following statements is true about the role of financial intermediaries?

- I. they reduce the transaction cost of linking together borrowers and lenders
 - II. they increase the exposure of investors to risk through diversification
 - III. they increase portfolio diversification
 - IV. they are neutral on problems of asymmetric information
- a) I and III
 - b) I and II
 - c) II and IV
 - d) III and IV

EX 2

Suppose a buyer wants to buy a bond, but there is asymmetric information on its quality. Which is the price the buyer is willing to pay?

- a) the average price of similar securities in the market
- b) a price *above* the average of similar securities in the market
- c) a price *below* the average of similar securities in the market
- d) any price

EX 3

Why does the principal agent problem of moral hazard arise with equity more than with debt?

Because ...

- a) borrower only needs to pay a fixed sum (interest), she/he can keep the rest, not with equity
- b) debt is monitored by credit agency firms, while equity monitoring is made by owners
- c) equity is a claim on profits in all situations of the firm, while with debt the lender only needs to monitor some states of the world
- d) none of the answers above

EX 4

An investment bank, in charge of arranging the IPO of a company A, gives the shares underpriced to the executives of company B in exchange for future business with their company. This is an example of:

- a) adverse selection
- b) a conflict of interest
- c) financial regulation
- d) a debt covenant